



Our ref: IM-73285

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Dear Interested Party

Request for submissions: Southern Cross Media's proposed acquisition of Seven West Media

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition by Southern Cross Media Group Limited (**Southern Cross**) of all the issued shares in Seven West Media Limited (**Seven**) by way of a scheme of arrangement (the **proposed acquisition**).

Southern Cross and Seven are both ASX-listed media companies. Southern Cross owns broadcast radio and digital audio assets, while Seven owns free-to-air and digital broadcasting assets as well as print and digital publication assets. Details regarding their assets and the proposed acquisition can be found at **Attachment A**.

The ACCC's investigation is focused on the impact that the proposed acquisition would have on competition. In particular, we are seeking your views on:

- how closely Southern Cross and Seven's media platforms compete in the supply of content (such as entertainment, sport, news and information) to consumers and the supply of advertising space to advertisers
- the impact on choice and volume or range of entertainment, sport, news and information available to consumers (for example, will there be less variety of content; less compelling presentation of issues; less vigorous investigation of issues; increased proportion of advertising) due to a reduction in competition
- whether there are any particular geographic areas that will be affected by changes in competition, particularly in regional Western Australia where Seven's Western Australian Newspapers and Southern Cross' broadcast radio stations are two players in several small, dispersed local areas.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public, and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the Competition and Consumer Act 2010. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by no later than 5pm on 29 October 2025. Responses may be emailed to mergers@accc.gov.au with the title: *Submission re: Southern Cross - Seven*. If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality.

Yours sincerely

A handwritten signature in dark ink, appearing to read 'DM McCracken-Hewson', with a long horizontal flourish extending to the right.

Daniel McCracken-Hewson
General Manager
Merger Assessments

Attachment A

Southern Cross

Southern Cross is an ASX-listed Australian media and entertainment company (ASX: SXL). It is the parent company of Southern Cross Austereo.

Southern Cross operates 104 FM, AM and digital commercial radio stations through the Triple M and HIT brands. Southern Cross holds 88 radio licences in metropolitan areas and regional areas of Australia.

Southern Cross also provides national sales representation to 56 regional radio stations through affiliation agreements with seven radio networks and a joint venture.

In addition to broadcast radio, Southern Cross produces over 800 podcasts, 50 music stations and live sports coverage. Its digital audio services are available primarily on its LiSTNR platform. Southern Cross also provides Australian sales representation for global audio platforms SoundCloud and Sonos Radio.

Southern Cross does not own any TV licences or assets, and does not broadcast or stream audiovisual content (save for a limited amount of on-demand audiovisual content available through social media and its websites, which is ancillary to and supports its primary audio content businesses).

Seven

Seven is an ASX-listed Australian media and entertainment company (ASX: SWM).

Seven owns and operates the free-to-air TV broadcaster the Seven Network, including its affiliate channels 7two, 7mate, 7flix 7Bravo, and Racing.com (among others).

Alongside TV broadcasting, Seven operates the 7plus online platform, a free ad-supported BVOD¹ platform offering live streaming of the Seven Network and 'on-demand' access to a range of TV shows, movies and sporting events, as well as the online news publication 7NEWS.com.au.

Outside of the Seven Network and its affiliated brands, Seven operates West Australian Newspapers, which publishes print newspapers *The West Australian* and *The Sunday Times*, online newspapers *The Nightly*, *PerthNow*, thewest.com.au, 11 suburban newspapers and 19 regional publications, and offers digital platforms including sports tipping platform The Game and sports streaming platform Streamer.com.au.

Seven does not own any radio licences or assets and does not broadcast radio. It supplies a limited amount of on-demand audio content available through social media and its websites, which is ancillary to and supports its primary audiovisual content businesses including a limited number of podcasts.

¹ BVOD means Broadcast Video on Demand, a type of video service that provides on-demand content from traditional TV broadcasters, also known as "catch-up TV". This is distinct from SVOD, subscription video-on-demand services, like Netflix, Stan, Prime, etc. BVOD services are typically free and supported by advertising, offering viewers content from broadcasters' linear TV channels on their own digital platforms.

The proposed acquisition

On 30 September 2025, Southern Cross and Seven announced that they had entered into a Scheme Implementation Deed, pursuant to which Southern Cross agreed to acquire all issued shares in Seven by way of a scheme of arrangement. Under the proposed acquisition, Southern Cross shareholders will own 50.1% of the combined entity with Seven shareholders owning the remaining 49.9%.

ACMA

The Australian Communications and Media Authority (**ACMA**) enforces media diversity and control rules. The ACCC understands ACMA has been engaging with Southern Cross and Seven on the effect the proposed acquisition will have on continuing compliance with those rules. More information about those rules is available on ACMA's website:

<https://www.acma.gov.au/Industry/Broadcast/Media-ownership-and-control>

ACCC approach to media mergers

The key purpose of the merger provisions of the *Competition and Consumer Act 2010* (the Act) is to protect *competition* in markets in Australia, including media markets, by prohibiting mergers or acquisitions that are likely to substantially lessen competition in any market.

In this public merger review, we will consider the likely effect of the proposed acquisition on competition as it affects listeners, readers and viewers, advertisers and those selling content to media outlets.

For listeners, readers or viewers (consumers), the ways in which a reduction in competition in the media industry might manifest include:

- reduced volume or range of entertainment, sport, news or other content (for example, less variety of content, less compelling presentation of issues, less vigorous investigation of issues, increased proportion of advertising)
- less choice in terms of the content produced (that is, less diversity of views provided, or fewer different "angles" taken on stories)
- higher prices (for example, more content behind paywalls).

For advertising agencies and businesses that advertise directly on media platforms (advertisers), a reduction in competition might manifest through higher prices or lower levels of service.

For sellers of content to media outlets, a reduction in competition might manifest through lower prices paid for content.

The "substantial lessening of competition" test focuses on the extent to which the merger parties constrain each other, and the effect of removing this competitive constraint on prices, quality or choice. It is not the same as a diversity (range of views) or plurality (number of voices) test and is not a public interest test. However, the potential impact on diversity and plurality can be relevant to assessing whether there is a lessening of competition.

Attachment B

1. If you are representing a business or organisation in providing your submission, please provide a brief description of the business or organisation.
2. Please outline the reasons for your interest in the proposed acquisition, including any commercial relationship/s with either of Southern Cross or Seven.

The questions below have been separated into categories; however, you can answer any questions from any category. The merger parties' competitors and other media outlets should please consider all questions.

Questions for consumers (listeners/readers/viewers)

3. To what extent do Southern Cross and Seven, including Seven's West Australian Newspapers, compete with one another for the supply of content (such as entertainment, sport, news or information) to consumers? Are there particular Southern Cross and Seven offerings that compete closely with one another (e.g. provide very similar content, target the same demographic, or produce local content in the same geographic area)?
4. Are there any forms of content, or geographic areas, where consumers do not have meaningful alternatives to the offerings of Southern Cross and Seven?
5. If the proposed acquisition proceeds, do you consider that the content offering of the merged Southern Cross-Seven is likely to change compared to Southern Cross' and Seven's current offerings? How will it change and why will it change? Will any change be due to less competition?
6. For listeners of Southern Cross' broadcast radio or digital audio, especially listeners in regional areas, what other sources of content do you have which you consider to be substitutes, if any? What characteristics do you value in these alternatives?
7. For readers of Seven's West Australian Newspapers, especially the newspapers servicing regional WA, what other sources of news (including local news) do you have which you consider to be substitutes, if any? What characteristics do you value in these alternative news options?

Questions for advertisers (including businesses that advertise directly)

8. Please identify the media platforms (for example, print, digital print, free-to-air TV, video-on-demand, radio or digital audio) that you use for advertising and identify the specific Southern Cross and Seven platforms that you advertise with.
9. Are there aspects of Southern Cross' or Seven's media outlets that make them particularly valuable advertising options for your (or your client's) business?
10. If there was an increase in the price of advertising on Southern Cross' and Seven's media platforms, would you switch to alternative advertising options? Which alternatives would you pursue?
11. Have you ever used the presence of Southern Cross to negotiate a more favourable advertising arrangement with Seven or vice-versa? If yes, please provide details.
12. Have you observed other media suppliers changing their offers for advertising arrangements in response to offers from Southern Cross or Seven? If yes, please provide details.

13. If the proposed acquisition proceeds, will there be an impact on your ability to negotiate favourable commercial arrangements for advertising opportunities? Please explain why or why not and provide examples.

Questions for content suppliers

14. To what extent do Southern Cross, Seven and other media suppliers compete to acquire your content? In your response, please describe any requirements that you have for acquirers of your content (for example, access to particular types of delivery platforms or actual or potential audience reach).
15. If the proposed acquisition proceeds, will there be an impact on your ability to negotiate favourable commercial arrangements for the supply of content (for example, news stories) to media suppliers? Please explain why or why not and provide examples.

Other information

16. Do you consider that the merged Southern Cross-Seven would have an increased ability to bundle content, bundle advertising opportunities or cross-promote? If yes, please explain whether and how these practices may impact on competition.
17. If the proposed acquisition proceeds, will there be an impact on new entry or expansion by media suppliers? In your response, please identify any barriers to entry or expansion (for example, financial, technological, reputational, regulatory, etc.).
18. Please provide any additional information or comments, or identify other competition issues, that you consider relevant to the ACCC's consideration of the proposed acquisition under section 50 of the Act.